

IBKR pitch deck

File-writing tools aren't available in this session, so the deck below is the deliverable itself — the machine-readable fence at the end is intact for the auto-armer to consume.

PITCH — IBKR — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Do not buy at today's price (~\$91.42). Keep it as a price-gated watch: the case reopens below ~\$73.40 or if the price ever becomes verifiably fair — it does not auto-buy. (Both benches converged here at conviction 8/10.)

What we believe

Interactive Brokers is an excellent business, and the court confirmed that part of the pitch from primary filings: revenue grew about 28% year over year, pretax margins run near 77%, accounts grew about 34%, and the automated-broker cost advantage is real. We also believe our own screening tools systematically misread this company — the negative enterprise value (-\$43.4B) and the ~6.1× price-to-sales figure are artifacts of customer cash sitting on the balance sheet and the holding-company structure, not signals. That insight is worth keeping.

But we do not believe the stock is a buy here, for four reasons the court sustained:

1. **The current earnings sit on a leverage peak.** Customer margin loans are up 67% year over year to \$108.5B, and up 20% in just the first half of 2026 — accelerating. Margin balances are among the most violently mean-reverting lines in brokerage. Today's profits are partly a bet that clients stay this levered.
2. **Outside shareholders get taxed economics.** Public Class A holders own only ~26.6% of the company, the founder's holding company controls ~73.4% of the vote, and the company has agreed to pay away 85% of certain tax savings to the pre-IPO holders. Minority shareholders can force nothing.
3. **We custody our own assets at IBKR.** Owning the equity of our own broker means a bad operational outcome (outage, failure) would hit our position and our custody access at the same time — a correlated tail we'd have to size around.
4. **We could not verify the price is fair** — see the pricing section below.

What the market believes

The market treats IBKR as a discovered, high-quality growth compounder and has paid up accordingly: the stock is \$91.42, only 6.6% below its 52-week high of \$97.84 and 55% above its 52-week low, at roughly 36× trailing earnings and 7× book. The nearest comparable, Schwab, trades at ~20× trailing earnings (15.4× forward) and 4.4× book — so the market is paying IBKR an ~80% premium, partly

justified by its faster growth (28% revenue growth vs. Schwab's slower pace). Consensus also implicitly believes the growth engine (client leverage, trading activity, high rates on client cash) persists.

Why we might have edge

Stated honestly, our edges here are knowledge, not entry signals:

- **We use the product daily.** As a customer we understand the platform's stickiness and cost advantage first-hand. But the court noted the flip side (custody concentration), and familiarity is not mispricing.
- **We caught our own tools lying.** The screen-defect finding (customer cash breaking EV and P/S for brokers) is genuinely useful — it will stop future false positives and false negatives across the broker sector. It just doesn't make this stock cheap.
- **We identified the tax-sharing structure** (85% of certain tax savings paid to insiders) before the market narrative discusses it much. But it argues *against* the stock, not for it.

Why it might be priced in

Almost certainly it is. This is a widely covered, 19-year-listed mega-cap with no dislocation: no drawdown, no forced seller, no misunderstood filing. The efficient-pricing presumption is legitimate for a name like this. The 80% premium to Schwab is at least partly earned by faster growth, and everything good we confirmed (growth, margins, account adds) was in the press release everyone read. Both benches agreed: the market fully knows.

What we checked ourselves

The court's job is to attack the pitch, and the attackers made errors too. Both are recorded below.

Claim	How checked	Found	Confirmed?
Margin loans +67% YoY to \$108.5B	Q2 2026 earnings release, primary: ex99_1	Verbatim match; NII growth attributed "primarily" to margin loans and credit balances	YES
Margin loans accelerating in 2026	10-Q (filed 2026-08-06) balance sheet	\$108,939M vs \$90,475M at 12/31/25 = +20% in six months	YES
Schwab comparison (P/E 20.23, fwd 15.37, P/B 4.37)	Re-pulled by both benches (secondary data source)	Figures matched exactly	YES (secondary source)
Negative EV / low P/S are screen artifacts	10-Q: payables \$176.8B, segregated cash \$96.2B, borrowings \$13M, equity \$22.25B split \$5.9B parent / \$16.3B non-controlling	Customer cash and holdco structure break the screens	YES

Claim	How checked	Found	Confirmed?
85% of tax savings paid to insiders; ~73.4% insider voting control	424B5, 7/31/26	Both verbatim in the prospectus	YES
“±\$81M of annual net interest income per 25bp rate move” is disclosed	Red bench error: ruled the figure absent from both the release and the 10-Q — but its read of the 10-Q was truncated. Blue bench ran SEC full-text search: “\$81 million” appears in the exact 10-Q (accession 0001381197-26-000147), 11 hits company-wide	The number exists in the filing; the exact sentence and context are still unquoted (both benches’ fetches cut off before that section). The original pitch also mis-cited it to the press release, where it does not appear	PARTIAL — presence confirmed, wording not
2,499,567-share insider exchange registered 7/31/26	Red bench error: ruled this “refuted as cited” without opening the sibling filing it had itself identified. Blue bench opened it: the exchange is verbatim in 424B5 accession -000133 (the pitch had linked the wrong sibling, -000138, a customer-promotion registration)	Fact confirmed; pitch’s link hygiene was sloppy; red’s refutation was wrong	YES
“Rate cuts shrink margin balances” (red’s mechanism)	Red bench self-contradiction: its own datum shows balances grew 67% straight through the 2024–25 cutting cycle. Historic compressions came in hiking/drawdown regimes	The real tail is a risk-off drawdown, not cuts per se. Longer history (2019, 2022) couldn’t be pulled — data gap	MECHANISM CORRECTED
Net interest income concentration	Blue bench, from the release: \$1.06B of \$1.90B Q2 revenue	56% of revenue is rate/balance-sensitive — which is why the unquoted \$81M sentence matters	YES
Q3 earnings date 2026-10-20	Vendor-derived only; no company press release names it	Unconfirmed	NO

PROPOSED ENTRY BANDS

No entry at any price today. The courts’ finding is a valuation objection against a confirmed-good business, so the disposition is a price-gated watch with reopen conditions, not a permanent kill:

- **Reopen band 1 — price:** below ~\$73.40 (a 25% drawdown from the 52-week high of \$97.84 — the red bench’s own stated flip level, where it moves to “accept with size cuts”). Hitting this level **reopens the case for a fresh court; it is not an automatic buy.** At that level, watch

specifically whether margin balances are compressing (which would mean earnings are falling with the price and the stock isn't actually getting cheaper).

- **Reopen band 2 — fairness verified, any price:** (a) the \$81M/25bp rate-sensitivity sentence quoted verbatim in context from the 10-Q's market-risk section, **and** (b) forward whole-company earnings multiple converging toward Schwab's (~15–20× forward vs. ~36× trailing today).
- **Adds / trims:** none — there is no position and no order.
- **Sizing if a future court accepts:** must price the custody overlap (we hold our assets at this broker) and the insider tax-sharing drag — i.e., start below a normal full position.
- **Catalyst dates:** Q3 2026 print ~2026-10-20 (vendor-derived, unconfirmed, explicitly **not** an entry gate; we are flat regardless); next annual insider share-exchange window ~July 2027 per the July 2026 precedent.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 73.4 (deck-provisional: 25% drawdown from 52-wk high 97.84 — red bench flip level; reopens the case, does not auto-buy)
- filing watch: 10-Q,10-K until 2027-02-11 (deck-provisional: quote the \$81M/25bp rate-sensitivity sentence verbatim from the market-risk section)
- dated pack IBKR|2026-10-20: IBKR: Q3 2026 earnings print (vendor-derived, not company-confirmed; not an entry gate) (date confirmed=False)
- dated pack IBKR|2027-07-31: IBKR: approximate next annual insider share-exchange window per July 2026 precedent (date confirmed=False)

What remains unverified

- **The \$81M/25bp sentence itself.** We proved the figure is in the 10-Q via full-text search but never read the sentence in context. Since 56% of revenue is net interest income, this is the single most load-bearing unread sentence in the case.
- **Fairness of the price.** Neither bench verified that the ~80% premium to Schwab is justified on whole-company forward economics. This is the core of the rejection and the second reopen condition.
- **Margin-balance behavior in prior cycles** (2019, 2022) — the data pull failed, so “how hard do balances mean-revert” rests on one cycle of evidence.
- **Founder succession.** The controller's founder is in his early 80s; no tool covers this, and the market price embeds no visible discount for it.
- **Broker regulatory status** (FINRA BrokerCheck was not queried — uncontested but unchecked).
- **The Q3 earnings date** (vendor-derived only).

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One process note: I could not save this deck to desk/reports/ — file-writing tools aren't available in this session, so the deck exists only in this message. If the pipeline expects a IBKR_PITCH_DECK_20260815.md file alongside the IREN deck, it will need to be written in a session with write access.